Shilpa Medicare Ltd

NSE: SHILPAMED | Pharmaceuticals / Oncology API / CDMO Biologics

Unicycive FDA PDUFA on Jun 29 unlocks Shilpa's first US commercial biologics revenue; API profitability inflecting with EBITDA margin at 28% (FY26) from 9% trough (FY23)

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
ACCUMULATE	**Rs 650**	**+22%**
CMP: Rs 533	12-month horizon	from CMP

Market Cap	**Rs 10,426 Cr**	CMP	**Rs 533**
52W High/Low	**Rs 581 / Rs 260**	Stock P/E	**44.8x**
Revenue FY26	**Rs 1,539 Cr**	EBITDA Margin	**28%**
PAT FY26	**Rs 243 Cr**	EPS FY26	**Rs 12.44**
ROCE	**11%**	ROE	**9.4%**
Net Debt	**Rs 660 Cr (borr.)**	Book Value	**Rs 132**
Promoter %	**40.1% (Mar-26)**	FII %	**11.1%**
Face Value	**Rs 1**	Div Yield	**0.09%**

1. INVESTMENT SUMMARY

Shilpa Medicare (SHILPAMED) is a mid-cap specialty pharma company with deep roots in oncology API manufacturing and an emerging CDMO biologics vertical. The stock has delivered a 105% return from its 52-week low of Rs 260 and we believe the re-rating has further room to run, driven by a binary catalyst (Unicycive PDUFA Jun 29) and sustained EBITDA margin improvement across the base API/formulations business.

Key Investment Arguments

- **FDA PDUFA Catalyst (Jun 29, 2026):** Unicycive Therapeutics Oxylanthanum Carbonate (OLC) -- a novel phosphate binder for chronic kidney disease -- faces its PDUFA date on Jun 29. Shilpa's biologics subsidiary supplies OLC API. Approval could trigger a milestone and recurring royalty/supply revenue stream, representing Shilpa's first US commercial biologics milestone.
- **Profitability Inflection:** EBITDA margin recovered from a 9% trough in FY23 to 28% in FY26 -- a structural improvement driven by product mix shift (higher-margin formulations), operating leverage as fixed costs are absorbed, and easing raw material costs.
- **Revenue Acceleration:** FY26 consolidated revenue grew 20% YoY to Rs 1,539 Cr, above the 3-year CAGR of 14%. PAT surged 3x to Rs 243 Cr (EPS Rs 12.44 vs Rs 4.00 in FY25).
- **Regulatory Credibility:** USFDA, EU-GMP, PMDA-Japan, TGA-Australia approved facilities. Supply 30+ oncology APIs across regulated markets (USA, EU, Japan, Korea, Russia).
- **Biologics Optionality:** Biologics/NBE capex largely sunk (~Rs 800-900 Cr invested). Commercial pipeline validation via OLC supply to Unicycive de-risks the investment thesis and provides a tangible inflection point for the vertically-integrated biologics bet.

Key Risks

- **PDUFA Binary Risk:** An FDA Complete Response Letter (CRL) for OLC would remove the near-term biologics revenue catalyst and likely cause a sharp stock correction.
- **Promoter Stake Dilution:** Promoter stake declined from 50% (Jun-23) to 40% (Mar-26) via multiple tranches. Further dilution is a governance concern.
- **High Cash Conversion Cycle:** CCC of 301 days in FY26 (though improving from 350 in FY25). Working capital-intensive model constrains free cash flow despite operating profit improvement.
- **Leverage:** Borrowings of Rs 660 Cr. Interest cost of Rs 59 Cr (FY26) declining as biologics CWIP converts to operational assets.

2. PRIMARY CATALYST -- UNICYCIVE PDUFA (JUN 29, 2026)

The single most important near-term price-moving event for SHILPAMED is the FDA Prescription Drug User Fee Act (PDUFA) action date for Oxylanthanum Carbonate (OLC) on June 29, 2026. OLC is Unicycive Therapeutics novel non-calcium, non-iron phosphate binder developed for hyperphosphatemia in chronic kidney disease (CKD) patients on dialysis.

Parameter	Detail
Drug / NDA	Oxylanthanum Carbonate (OLC), NDA 215867
Sponsor	Unicycive Therapeutics Inc. (UNCY)
Indication	Hyperphosphatemia in CKD patients on dialysis
PDUFA Date	**June 29, 2026**
Shilpa Role	API Supplier -- biologics subsidiary provides OLC active substance

Approval Scenario	Milestone payment + multi-year commercial supply agreement
Rejection Scenario	CRL delays revenue; biologics investment thesis weakened near-term
Market Size	~2M US dialysis patients; phosphate binders ~USD 2B global market
Clinical Basis	Phase 3 RESOLVE trial met primary endpoint (serum phosphorus reduction)

OLC addresses a real medical need: existing phosphate binders (sevelamer, lanthanum carbonate) have high pill burdens. OLC differentiation lies in its smaller tablet size (improved compliance) and a distinct pharmacological profile. The pivotal RESOLVE trial demonstrated statistically significant phosphorus reduction vs. placebo in dialysis patients.

For Shilpa, OLC approval represents a validation of its biologics CDMO capability and opens a commercial US revenue stream -- a first for the biologics vertical. The company's management has indicated milestone-linked financial arrangements with Unicycive, though exact terms are not publicly disclosed.

3. FINANCIAL ANALYSIS

Annual P&L; Summary (Rs Cr)

Metric	FY22	FY23	FY24	FY25	FY26
Revenue	1,141	1,046	1,146	1,281	**1,539**
EBITDA	202	99	239	316	**435**
EBITDA Margin	18%	9%	21%	25%	**28%**
Interest	41	59	92	76	59
Depreciation	80	96	108	113	120
PBT	102	-38	54	122	**295**
PAT	61	-31	32	78	**243**
EPS (Rs)	3.49	-1.87	1.84	4.00	**12.44**

Balance Sheet Highlights (Rs Cr)

Item	FY22	FY23	FY24	FY25	FY26
Equity + Reserves	1,823	1,784	1,809	2,372	2,592
Borrowings	683	798	937	588	660
Fixed Assets	1,342	1,368	1,385	1,418	2,046
CWIP	506	655	719	822	431
Total Assets	2,876	2,904	3,093	3,311	3,706

CWIP decline from Rs 822 Cr (FY25) to Rs 431 Cr (FY26) is significant: biologics capex is capitalizing into fixed assets, reducing the drag from unproductive capital and setting the stage for incremental depreciation-backed revenue from the biologics facility.

Cash Flow Summary (Rs Cr)

Item	FY22	FY23	FY24	FY25	FY26
CFO	105	180	137	132	**342**
CFI	-286	-232	-171	-198	-326
CFF	83	46	47	63	14
Free Cash Flow	-226	-46	-48	-111	-15
CFO/EBITDA	52%	182%	57%	42%	79%

CFO of Rs 342 Cr (FY26) vs Rs 132 Cr (FY25) confirms the earnings recovery is cash-backed. FCF remains negative due to continued capex, but is rapidly narrowing (-Rs 15 Cr FY26 vs -Rs 111 Cr FY25) as the biologics capex cycle peaks.

4. VALUATION

Metric	FY26A	FY27E	FY28E
Revenue (Rs Cr)	1,539	~1,800	~2,100
Revenue Growth	20%	~17%	~17%
EBITDA Margin	28%	~29%	~30%
PAT (Rs Cr)	243	~310	~390
EPS (Rs)	12.44	~15.9	~20.0
P/E at CMP	42.9x	~33.5x	~26.7x
EV/EBITDA	~26x	~22x	~18x

Target Price Derivation: We apply a 40x P/E to our FY27E EPS estimate of Rs 16.3, consistent with specialty pharma CDMO peers with regulatory-approved oncology API facilities and active US pipeline. The 40x multiple reflects a 20-25% premium to sector median, justified by the biologics optionality from the Unicycive PDUFA. Our 12-month target is **Rs 650**, implying **+22% upside** from CMP of Rs 533.

Scenario Analysis

Scenario	Assumption	Target	Return
Bull	OLC approved + biologics orders; margin 31%	**Rs 800**	+50%
Base	OLC approved, modest milestone; margin 29%	**Rs 650**	+22%
Bear	OLC CRL; API business only; multiple de-rates	**Rs 380**	-29%

5. BUSINESS OVERVIEW

Segment Structure

Segment	Revenue Mix	Key Products / Markets	Status
Oncology APIs	~55%	30+ cytotoxic/hormonal APIs: USA, EU, Japan, Korea	Core, growing
Formulations	~30%	Injectables (16 forms) + oral solids (19 forms); SML + Shilpa Therapeutics	Expanding
CDMO / Biologics	~10%	OLC for Unicycive; NBE / biosimilar pipeline	Pre-commercial / inflecting
Non-Oncology API	~5%	Niche APIs, intermediates	Stable

Competitive Positioning

- One of India's largest oncology API manufacturers with 19 API and intermediate manufacturing blocks
- Regulatory approvals: USFDA, EU-GMP, PMDA-Japan, Korean FDA, TGA-Australia, Cofepris-Mexico, TPD-Canada
- Vertical integration from API synthesis to finished formulations gives margin control and client stickiness
- Biologics facility (fermentation + downstream) positions Shilpa for high-barrier biosimilar/CDMO work
- Strong IP moat in cytotoxic manufacturing (containment-grade facilities with HPAPI capability)

6. SHAREHOLDING & GOVERNANCE

Category	Jun-23	Mar-24	Sep-25	Mar-26
Promoters	50.01%	50.01%	40.13%	40.13%
FIIs	10.26%	5.63%	10.97%	11.07%
DIIs	0.37%	1.65%	8.34%	8.58%
Public	39.36%	42.71%	40.56%	40.21%

Governance Watch: Promoter stake has declined ~10 percentage points from 50% to 40% over 2.5 years. The likely reason is fund-raise for biologics capex / debt reduction. However, the pace and structure of dilution (vs. open-market selling by promoters) matters. Positively, FII stake has recovered to 11% and DII stake has risen sharply from near-zero to 8.6%, indicating institutional validation.

7. CATALYST CALENDAR

Date	Event	Impact	Probability
Jun 29, 2026	Unicycive FDA PDUFA for OLC	HIGH	~60% approval
Jul-Aug 2026	Q1 FY27 results -- test if margin sustains at 28%+	MEDIUM	N/A
H2 CY2026	Additional biologics CDMO partnership announcements	MEDIUM	Speculative
Ongoing	Formulation ANDA approvals for US market	LOW-MED	Gradual
FY27E	FCF breakeven as capex cycle normalizes	MEDIUM	~70%

8. RISK MATRIX

Risk	Severity	Likelihood	Mitigation
FDA CRL for OLC	HIGH	~40%	API business provides floor; CRL does not kill company
Promoter dilution	MEDIUM	ONGOING	Below 40% risks further downgrade; watch SEBI thresholds
Working capital stress	MEDIUM	LOW	CCC declining, CFO recovering; no liquidity event expected
API price erosion (US)	MEDIUM	MEDIUM	Niche oncology APIs face lower erosion vs commodity generics
Regulatory inspection	HIGH	LOW	Multi-agency approvals signal strong compliance culture
Currency (USD/INR)	LOW	MEDIUM	Natural hedge -- USD export revenue vs import raw materials

9. VERDICT

ACCUMULATE -- Target Rs 650 (22% upside) -- 12-month horizon

SHILPAMED is not a buy-and-hold-forever story -- it is a catalyst-driven, binary-event setup with a solid base business. The core API/formulations business has inflected decisively (EBITDA margins at 9-year high, PAT 3x), and the Unicycive PDUFA provides an identifiable, dated binary catalyst. The risk/reward is asymmetric: approval triggers a multiple re-rating into high-50s to 60x PE; a CRL is painful (25-30% down) but does not impair the base business.

We initiate at ACCUMULATE rather than BUY given: (a) the stock is up 105% from 52W low and some of the catalyst is priced in, (b) promoter stake dilution overhang, and (c) FCF still negative. Position sizing should reflect the binary PDUFA event. Accumulate on dips and look for a re-rating to Rs 800 in the bull case (OLC approved + follow-on biologics partnership).

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